

21SMCV00498 21SMCV00498

County: los-angeles

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TENTATIVE

RULING

DEPARTMENT

207

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21SMCV00498

MOTION

Motion

for the Imposition of Punitive Damages

MOVING PARTY

Plaintiff Myriad Pictures, Inc.

OPPOSING PARTIES

none

MOTION

This case arises from a dispute concerning the production and distribution of the fourth movie in the “Jeepers Creepers” movie franchise.

On June 18, 2024, Plaintiff Myriad Pictures, Inc. (“Plaintiff”) filed the operative Third Amended Complaint (“TAC”) against Defendants Infinity Films Holdings, LLC (“Infinity”); Michael Ohoven (“Ohoven”); Brandon Farm, LLC (“Brandon Farm”); Jake Seal (“Seal”); Screen Media Ventures, LLC (“SMV”); Chicken Soup for the Soul Entertainment, Inc. (“CSS”); Independent Frame, LLC (“Independent”); Orwo Film Distribution, LLC (“Orwo”); PVS Studios, LLC (“PVS”); David Fannon (“Fannon”); Seth Needle (“Needle”); and the Estate Mark Damon (“Damon”), alleging five causes of action for (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; (3) intentional interference with contractual relations; (4) fraudulent concealment; and (5) declaratory relief.

At the April 29, 2026 bench trial, the Court further awarded Myriad economic damages in the amount of \$2,117,905.
(Ex. A to Paredes Decl. at p. 43:10-11.)

Plaintiff now moves for an order awarding Plaintiff punitive damages against Defendant Seal, pursuant to Civil Code section 3294, in the amount of \$6,353,715, or three times the economic damages award. The motion is unopposed.

ANALYSIS

Civil Code section 3294 provides for the imposition of punitive damages where the defendant is guilty of oppression, fraud, or malice. (Civ. Code, § 3294, subd. (a).) At the April 29, 2026 bench trial, the Court found Defendant Seal committed fraud:

FRAUD HAS BEEN ESTABLISHED BY CLEAR AND
CONVINCING EVIDENCE WITH RESPECT TO MR. SEAL, COUPLED WITH THE FACT THAT THE
COURT DID NOT FIND HIM TO BE CREDIBLE.

(Ex.

A to Paredes Decl. at p. 51:15-17.) Thus, in general, Plaintiff is entitled to recoup punitive damages as to Defendant Seal.

Notwithstanding, the punitive damages award may not be Constitutionally excessive. "In determining whether a punitive damage award is excessive under California law, a court must consider (1) the reprehensibility of the defendant's conduct; (2) the amount of compensatory damages or actual harm suffered by the plaintiff; and (3) the defendant's financial condition. (Corenbaum v. Lampkin (2013) 215 Cal.App.4th 1308, 1337 hereafter Corenbaum).)

1.

Defendant

Seal's Financial Condition

"[T]he purpose of punitive damages is not served by financially destroying a defendant. The purpose is to deter, not to destroy." (Adams v. Murakami (1991) 54 Cal.3d 105, 112.) "[A] punitive damages award is excessive if it is disproportionate to the defendant's ability to pay." (Ibid., citations omitted.) For this reason, the United States Supreme Court has explained that there are constitutional limitations on punitive damages awards. (State Farm Mut. Auto. Ins. Co. v. Campbell (2003) 538 U.S. 408, 416.) "It has been recognized that punitive damages awards generally are not permitted to exceed 10 percent of the defendant's net worth." (Weeks v. Baker & McKenzie (1998) 63 Cal.App.4th 1128, 1166.)

On May 4, 2026, the Court granted Plaintiff's motion to compel production of documents, ordering Seal to produce, without objection, the requested financial documents. Seal has not produced any of the documents ordered to be produced. (Paredes Decl. ¶ 3.)

In support of its argument that the Court may award the requested punitive damages, notwithstanding the absence of financial records to ensure the requested punitive damages are not Constitutionally excessive, Plaintiff cites to Corenbaum v. Lampkin (2013) 215 Cal.App.4th 1308, 1337. There, the Court of Appeal explained, "A defendant who fails to comply with a court order

to produce records of his or her financial condition may be estopped from challenging a punitive damage award based on lack of evidence of financial condition to support the award.” (Ibid., citing Mike Davidov Co. v. Issod (2000) 78 Cal.App.4th 597, 608-609.)

Thus, here, because Seal refused to comply with a Court order to produce his financial records, pursuant to Corenbaum and Mike Davidov, he is estopped from challenging a punitive damages award for inadequate evidence of his financial condition.

Notwithstanding, the Court must still analyze the reprehensibility of the defendant’s conduct and the amount of the economic damages.

2.

Reprehensibility
of Defendant Seal’s Conduct

In general, “the more reprehensible the act, the greater the appropriate punishment, assuming all other factors are equal.” (Neal v. Farmers Ins. Exchange (1978) 21 Cal.3d 910, 928.) Notwithstanding, “The determination of whether an award is excessive is admittedly more art than science.” (Adams v. Murakami (1991) 54 Cal.3d 105, 112.)

Plaintiff directs the Court to the United States Supreme Court decision in State Farm Mut. Auto. Ins. Co. v. Campbell (2003) 538 U.S. 408, 419 (hereafter State Farm) where the High Court analyzed the following factors: (1) whether the harm was physical or economic; (2) whether the defendant disregarded health or safety; (3) whether the victim was financially vulnerable; (4) whether the conduct involved repeated actions or was an isolated incident; and (5) whether the harm resulted from intentional malice, trickery, or deceit rather than mere accident.

Plaintiff argues that there is a high degree of reprehensibility because the conduct was intentionally fraudulent, premeditated, deliberately orchestrated, amounting to years-long pattern of deceit and obstruction.

While the Court agrees that Seal lacked credibility at trial and his

conduct was found to be knowingly fraudulent, and that Seal demonstrated a pattern of deceit and obstruction, that is only two of the five factors listed above.

Notably, here, the harm was purely economic, not physical; no one's health or safety was at risk; and Plaintiff, as a corporate entity with a history of securing entertainment industry deals, was not particularly financially vulnerable.

Thus, the Court finds that Seal's conduct was moderately reprehensible.

3.

Ratio to

Compensatory Damages

State Farm also noted that "few awards exceeding a single-digit ratio between punitive and compensatory damages, to a significant degree, will satisfy due process." (State Farm, *supra*, 538 U.S. at p. 425.) Specifically ratios of 4-to-1, 3-to-1, or 2-to-1 are more likely to comport with due process. (*Ibid.*)

Plaintiff also cites to *Grimshaw*

v. Ford Motor Co. (1981) 119 Cal.App.3d 757, 820 as standing for the proposition that "courts have upheld higher ratios," but there, the plaintiff and his heirs were ultimately awarded a total of \$2.55 million in compensatory damages and \$3.5 million in punitive damages, representing a ratio of approximately 1.4 to 1. Further, in *Grimshaw*, Ford "exhibited a conscious and callous disregard of public safety in order to maximize corporate profits" despite already having a net worth of \$7.7 billion. (*Id.* at p. 819-820.)

By contrast, here, there was no threat to public safety.

Notwithstanding, in *Grimshaw*, the ratio was likely lower than it otherwise might have been in light of the high reprehensibility of Ford's conduct, because the \$3.5 million punitive damages award was already "many times over the highest award for such damages ever upheld in California" at the time it was awarded in the late 1970s

or early 1980s. (Id. at p. 818.)

Ultimately, here, in light of the fact that Seal's conduct was only moderately reprehensible, in that it constituted an ongoing deliberate pattern of fraud and deceit, satisfying two of the five factors, but did not otherwise threaten anyone's health or safety or target particularly vulnerable plaintiffs, the Court finds a punitive damages award ratio of 1.6-to-1 appropriate, representing 40% (or 2 of the 5 factors) of the maximum 4-to-1 ratio that typically comports with due process.

CONCLUSION AND ORDER

Therefore, the Court finds as follows: (1)

Seal is estopped from challenging the punitive damages award based on his financial condition because he failed to comply with the Court's May 4, 2026 Order to produce the requested financial records; and (2) Seal's conduct was moderately reprehensible, satisfying only 2 of the 5 reprehensibility factors.

As such, the Court grants in part Plaintiff's unopposed request for punitive damages against Seal in the amount of \$3,388,648, representing 1.6 times the \$2,117,905 awarded in economic damages awarded.

Further, having decided the punitive damages issue, the Court vacates Phase II of the non-jury trial, currently scheduled for September 21, 2026.

Further, the Court Plaintiff shall lodge a proposed Judgment in conformance with the Court's rulings stemming from the trial and the instant motion on or before August 17, 2026.

Further, the Court sets an Order to Show Cause re Entry of Judgment on September 21, 2026 at 8:30 A.M. in Department 207. No appearance will be necessary if the Judgment is entered beforehand.

Plaintiff shall also provide notice of the Court's ruling and file the notice with a proof of service forthwith.

DATED: July 27, 2026 _____/s/_____

Michael
E. Whitaker

Judge
of the Superior Court